

Voluntary Report – Voluntary - Public Distribution

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Report Name: Oilseeds and Products Report

Country: Cote d'Ivoire

Post: Accra

Report Category: Oilseeds and Products

Prepared By:

Approved By: Mariano Beillard

Report Highlights:

Côte d'Ivoire is one of the leading producers of palm oil in Africa, with annual production exceeding 500,000 metric tons since 2018. The country consumes over 75% of its palm oil production domestically, with palm oil being a staple for 90% of the population. The high domestic demand for palm oil outstrips supply, creating intense competition for fresh fruit bunches (FFB). To address regulatory compliance and enhance industry standards, the Government of Côte d'Ivoire (GOCI) has initiated actions, including closing non-compliant mills.

Executive Summary:

Côte d'Ivoire ranks as the second largest producer of crude palm oil (CPO) in Africa, trailing only Nigeria, and is a pivotal player in the sub-regional market. The country consumes over two-thirds of its annual palm oil production and dominates 90% of the West African Economy and Monetary Union market.

The palm oil sector in Côte d'Ivoire is marked by a dual structure: significant smallholder involvement organized into approximately thirty cooperatives and large-scale industrial plantations. There is a notable disparity in yields, with smallholders averaging 7 tons/ha compared to 20 to 25 tons/ha for industrial plantations. This yield gap underscores the urgent need for modernizing smallholder practices to enhance productivity and competitiveness.

Crude Palm Oil (CPO) is processed in palm oil mills, where it is initially extracted and refined. The refined CPO is then further processed in derivatives production facilities to produce vegetable oil, which is the primary cooking oil in the country. These facilities also manufacture various derived products such as margarine, soap, lotion, shampoo, and skin care products. Economically, the sector is crucial, contributing 1.5% to the nation’s GDP. However, it faces several challenges, including increasing international competition and domestic regulatory pressures.

Since December 2020, Government of Cote d’Ivoire (GOCI), through the Palm Oil and Rubber Council (CHPH), has implemented price controls on CPO and fresh fruit bunches (FFB) to manage food inflation. Consequently CPO prices have decreased by 16%. While these measures are intended to stabilize consumer prices, they have compressed profit margins for mills and FFB producers, limiting their ability to capitalize on international price trends.

The CHPH, established in 2020, has been tasked with revising price-setting mechanisms and reforming sector taxation. However, the anticipated regulatory changes have yet to be enforced, allowing some actors within the value chain to circumvent established rules.

In response to these challenges, GOCI initiated actions in early 2024, including inspections that have led to the closure of certain mills for non-compliance with regulatory standards.

Commodity: oil, palm

Table 1 Production Supply and Distribution (PSD)

Oil, Palm Market Year Begins Cote d'Ivoire	2022/2023		2023/2024		2024/2025	
	Oct 2022		Oct 2023		Oct 2024	
	USDA Official	New Post	USDA Official	New Post	USDA Official	New Post
Area Planted (1000 HA)	0	0	0	0	0	0
Area Harvested (1000 HA)	300	300	300	300	300	300
Trees (1000 TREES)	26900	26900	26900	26900	26900	26900
Beginning Stocks (1000 MT)	41	41	181	146	186	91
Production (1000 MT)	600	565	600	595	600	620
MY Imports (1000 MT)	59	59	70	15	80	65
MY Imp. from U.S. (1000 MT)	0	0	0	0	0	0
MY Imp. from EU (1000 MT)	0	0	0	0	0	0

Total Supply (1000 MT)	700	665	851	756	866	776
MY Exports (1000 MT)	234	234	375	375	380	380
MY Exp. to EU (1000 MT)	0	0	0	0	0	0
Industrial Dom. Cons. (1000 MT)	60	60	65	65	70	70
Food Use Dom. Cons. (1000 MT)	225	225	225	225	230	230
Feed Waste Dom. Cons. (1000 MT)	0	0	0	0	0	0
Total Dom. Cons. (1000 MT)	285	285	290	290	300	300
Ending Stocks (1000 MT)	181	146	186	91	186	96
Total Distribution (1000 MT)	700	665	851	756	866	776
CY Imports (1000 MT)	24	24	70	10	0	70
CY Imp. from U.S. (1000 MT)	0	0	0	0	0	0
CY Exports (1000 MT)	287	287	375	375	380	380
CY Exp. to U.S. (1000 MT)	0	0	0	0	0	0
Yield (MT/HA)	2	1.8833	2	1.9833	2	2.0667
(1000 HA) ,(1000 TREES) ,(1000 MT) ,(MT/HA)						
OFFICIAL DATA CAN BE ACCESSED AT: PSD Online Advanced Query						

Source: FAS CDI Estimate

Production

USDA's Foreign Agricultural Service Abidjan (Post) forecasts Côte d'Ivoire's palm oil production in MY2024/25 to be at 620,000 MT, a four percent increase from MY 2024/25's USDA official figure.

Post forecasts Côte d'Ivoire's palm oil production in MY2023/24 at 595,000 MT, a five percent increase from MY 2022/23's official figure.

The total area of Ivorian palm orchards is estimated to be around 330,000 hectares, with 80,000 hectares classified as industrial plantations (PI), representing 25% of the orchard, and 250,000 hectares classified as village plantations (PV), constituting the majority with 75% of the total area. Village plantations are thus the largest producers of fresh fruit bunches (FFB). However, they also represent the lowest yields, despite the significant reliance of primary processing companies on them. Village plantations yield around 6 to 7 tons per hectare, whereas industrial plantations yield about 14 tons per hectare. The low productivity of small Ivorian farmers is primarily due to insufficient input supply and the quality of the planting material. According to various studies, the average size of a PV (village plantation) is approximately 5 hectares, and only one-sixth of these plantations cover areas greater than 30 hectares.

Industrial palm oil plantations contribute 40 percent of the national oil production. Five major companies own all the industrial palm oil plantations in the country, with PALMCI (owned by the SIFCA Group) being the largest. Other significant players include Sipef-CI (UOC), Palmafrique, SOGB, and Dekeloil. Additionally, the National Agronomic Research Center (CNRA) owns 3,500 hectares, bringing the total area to 80,000 hectares.

The projected increase in palm oil production for MY2024/25 can be attributed to the incorporation of new official data that accounts for recently established smallholder plantations. Smallholder production now constitutes up to 60 percent of Côte d'Ivoire's total palm oil output. Additionally, several leading industry processors are planning to expand their capacity to process fresh fruit bunches (FFB) into crude

palm oil (CPO) for the upcoming marketing year. Moreover, Ivorian oil mills are strategizing to boost their CPO exports in 2024 and 2025 to mitigate the financial losses resulting from the price controls imposed by the Government of Côte d'Ivoire (GOCI). PALMCI, the leading palm oil industry player in Côte d'Ivoire, has acquired 1,300 hectares of plantations from another company to enhance its downstream industrial production capacity for crude palm oil (CPO).

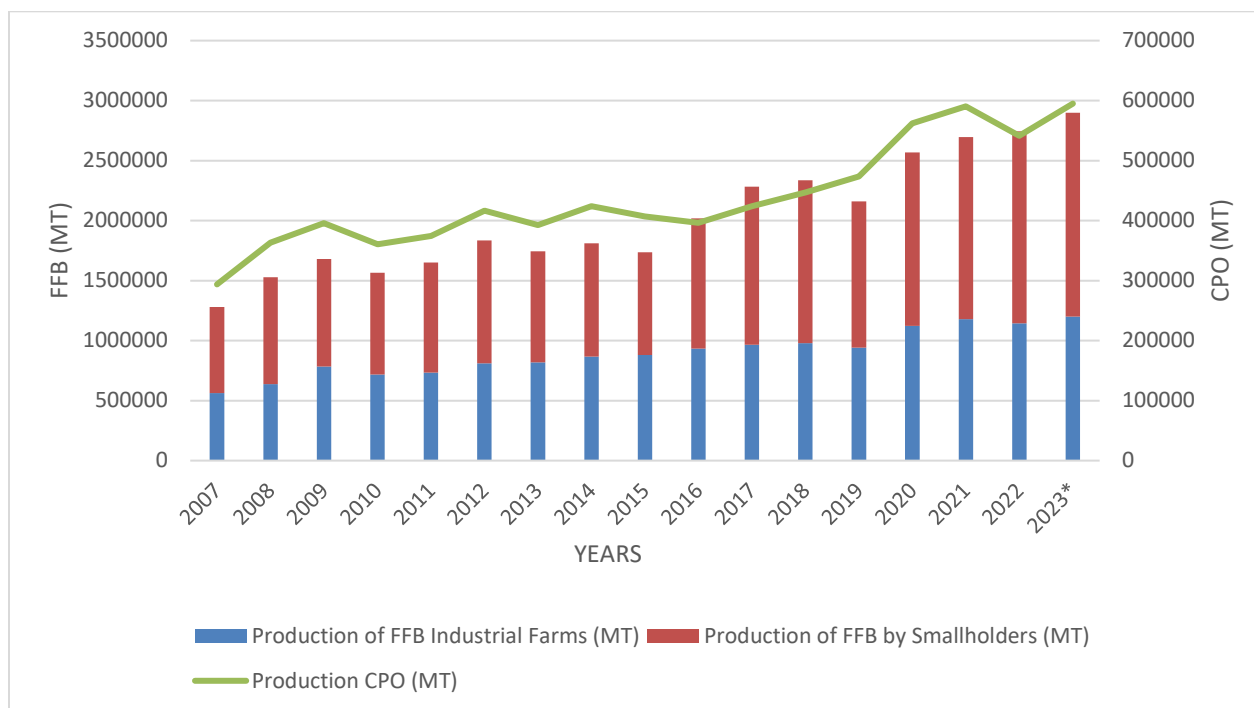
While there is an expansion in milling and crude palm oil (CPO) processing capacity, along with better management of industrial plantations (IP) and an extension of industrial plots, smallholder farmers are facing several challenges. Apart from historically lower yields due to non-compliance with good agricultural practices, suboptimal fertilizer application, and failure to follow agricultural advisory recommendations, producers are also dealing with the poor condition of access roads from village plantations to oil mills. This severely impacts both the quality and quantity of products delivered to the mills. Additionally, the aging of some plots raises the issue of replanting, particularly with the difficulty in accessing high-quality planting material. The National Agronomic Research Center (CNRA) is struggling to meet the high demand, resulting in delays in fulfilling requests for quality plant material.

In recent years, there has been a significant increase in the number of palm oil mills in the palm oil sector in Côte d'Ivoire. These new entrants, often without their own production plots, are fiercely competing to secure the supply of fresh fruit bunches from village plantations. This competition often undermines the fixed price cap measures set by the Government of Côte d'Ivoire (GOCI). In some regions, a parallel supply chain for FFB has emerged as a result of this competition with the new players in the first-stage processing chain.

Although artisanal palm oil represents only about 10% of national production, it plays a crucial role in the local economy. The rise of mini-artisanal mills has created local competition for the purchase of fresh fruit bunches, affecting the prices and availability of raw materials for small units. This situation can lead to tensions in the supply chain, influencing price stability and the sustainability of operations for small artisanal mills, which heavily rely on regular access to fresh fruit bunches to maintain their production and profitability.

Despite certain challenges, the production potential for palm oil in Côte d'Ivoire remains very high. In some regions, there is a noticeable shift from cocoa cultivation, which has been devastated by the swollen shoot disease, to palm oil cultivation. This transition is expected to contribute to an increase in production in the medium term.

Figure 1. Historical Production of FFB and CPO from Industrial and smallholders' plantations



Source: AIPH

Palm oil processing in Côte d'Ivoire is carried out by approximately twenty large crude palm oil production units with a total capacity of 900 tons per hour, along with around thirty medium and small units with a combined capacity of 400 tons per hour. Altogether, these processing facilities can handle just over 1,200 tons of fresh fruit bunches (FFB) per hour. Additionally, artisanal processors play a significant role in producing oil and soap for local communities, though processing capacity data for these facilities remain largely unknown. The artisanal presses found in most production areas process a portion of the village production into artisanal oil. The growing capacity and number of these mini mills create competition in the purchase of village production, especially in areas with high competition.

Consumption

Post forecasts MY2024/25 palm oil consumption at 300,000 MT, a five percent increase from total consumption estimates for MY 2022/23. Post estimates MY2023/24 palm oil consumption at 290,000 MT, a two percent increase from MY 2022/23 estimate from the USDA.

The oil palm sector plays a pivotal role in the Ivorian economy, serving not only as a vital source of income for farmers but also as a key export commodity. The total installed processing capacity for fresh fruit bunches (FFB) is approximately 1294 tons per hour, translating to nearly 4,270,200 tons annually nationwide. This processing capacity significantly exceeds the current FFB production, which stands at approximately 2,800,500 tons per year. Domestically, palm oil is a staple ingredient in Ivorian cuisine and is widely utilized by households. The industrial demand is equally substantial, as palm oil is integral in the production of processed food products and cosmetics.

The five leading agro-industrial companies (Palmci, UOC, Palmafrique, Dekel Oil, and Codipalm) collectively account for about 60% of the national processed output, underscoring the economic importance of this crop. In the industrial sector, crude palm oil (CPO) undergoes processing to yield a variety of products, including food items such as vegetable oil, margarine, and biscuits, as well as cosmetics and soap. Prominent industry players include Awi, Adamafrique, Sania, Sarci, and Sifca.

The palm oil mills in Côte d'Ivoire have an estimated absorption capacity of 152% of the current production potential, indicating a shortfall of palm oil bunches by 52%. This means that the installed processing capacities surpass the availability of raw materials nationwide. As a result, there is intense competition to secure sufficient volumes of palm oil bunches, leading to an increased risk of margin reduction due to the necessary commercial efforts.

Some derivatives production facilities have adopted a vertical integration strategy by entering the fresh fruit bunch (FFB) purchasing market. They have done this by building their own palm oil mills and offering purchase prices for crude palm oil that are higher than the established rates. This strategy gives these facilities a competitive edge in acquiring FFB from local village producers.

About 75% of palm oil production meets the national demand for oilseeds, primarily for the manufacture of food and industrial products. The remaining 25% is exported to neighboring countries in the sub-region, such as Mali, Burkina Faso, Niger, Ghana, and Nigeria. This strategic allocation not only stabilizes the domestic market but also diversifies and strengthens export markets, thereby contributing to regional economic integration and increasing revenue generated from exports.

Historically, domestic demand has experienced a significant increase, rising from 180,000 MT in CY 2007/08 to 352,000 MT in CY 2017/18, an 81% increase, corresponding to an average annual growth of 6% over 10 years. In terms of per capita consumption, palm oil usage in Côte d'Ivoire increased by approximately 44% from 2008 to 2018, rising from 9 kg per person in CY 2007/08 to 13 kg per person in CY 2017/18¹. It is important to note that, unlike Sub-Saharan Africa as a whole, which relies on substantial palm oil imports. In 2017/18, almost 59% of the palm oil consumed in Sub-Saharan Africa was imported. However, Côte d'Ivoire did not face this situation, as it primarily relied on its own production for domestic consumption.

Post is expecting a slight increase in palm oil consumption for food over the next two years due to population growth. According to a study by FARM, over the span of ten years, Ivorian production has increased at an average annual rate lower than that of domestic demand.

¹ Fondation-FARM, "La Filière Palmier à Huile en Côte d'Ivoire: Un Condensé des Enjeux du Développement Durable," Note 13, Février 2020.

Trade

Côte d'Ivoire's palm oil exports are estimated at 210,000 MT for MY2024/25. According to export data, Cameroon has been the leading destination for Côte d'Ivoire's crude palm oil exports over the last four years, accounting for 32 percent of total exports last year. Exports to Cameroon surged by 408% in MY 2022/23. This upward trend is expected to continue in the current marketing year. This increase is likely due to the growing demand in the country's expanding processing industries². Post estimates Cote d'Ivoire's crude palm oil exports for MY2023/24 to be at 200,000 MT.

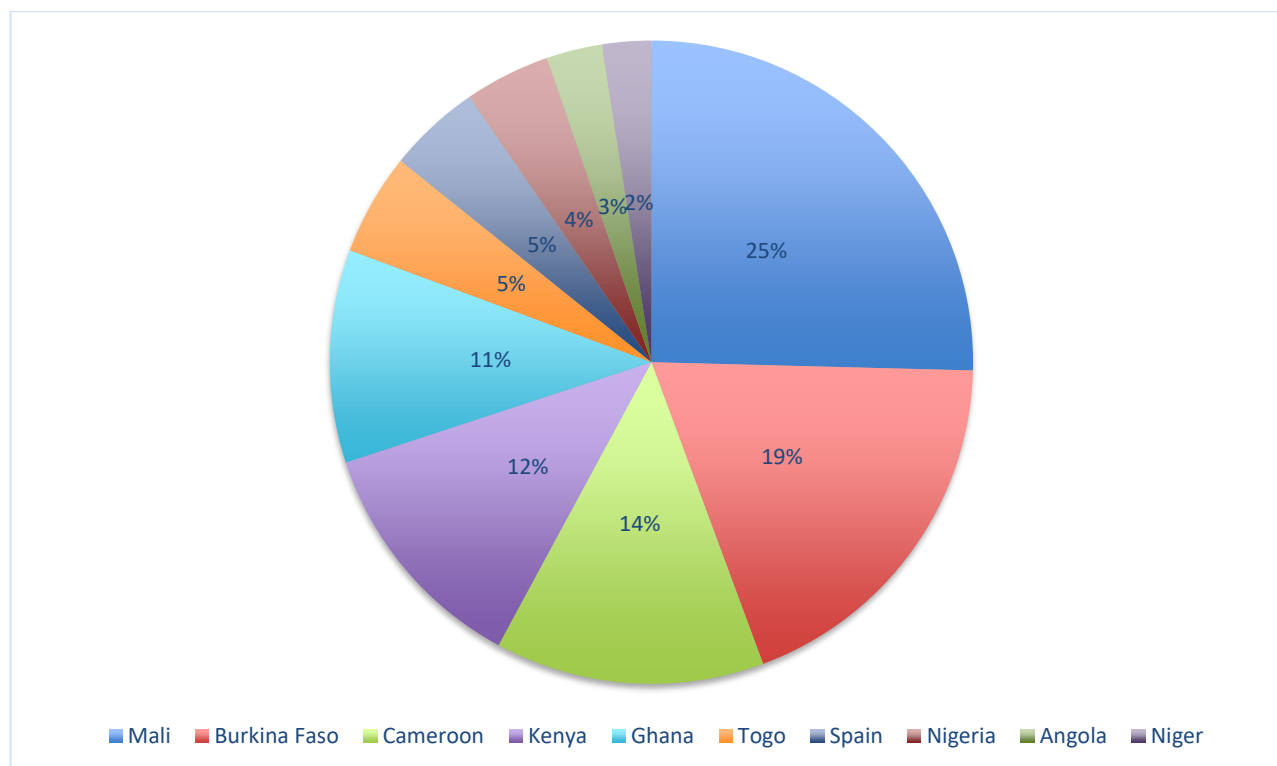
Since the beginning of the 2024 marketing year, the export volumes of CPO have surged dramatically due to increased demand in several countries. Ghana has seen a 32% rise, while Nigeria's imports have skyrocketed by 450%. Benin's demand has increased by a remarkable sevenfold, and Morocco's imports have exploded, becoming 210 times larger than before. The drop in global palm oil prices has made it more affordable for Morocco to boost its imports. Competitive pricing from countries like Côte d'Ivoire and Malaysia has fueled this demand. In Nigeria, despite efforts to increase domestic palm oil production, supply shortages due to flooding and limited capacity among smaller producers have led to a reliance on imports.

On the export side of refined palm oil from Cote d'Ivoire, Côte d'Ivoire's refined palm oil exports to Mali rose by 53% since the beginning of this marketing year. Over the past five years, Mali has been the leading destination for Côte d'Ivoire's refined palm oil exports, receiving an average of 65,000 MT annually. Similarly, the second-largest destination for refined palm oil exports (Burkina Faso) experienced a 73% increase in supply from Côte d'Ivoire at the start of the new marketing year compared to the same period last year. Additionally, exports to Togo increased by 154% over the last six months compared to the same period last year, likely driven by the country's economic growth and increased industrial activities.

Overall, CPO exports fell by 60% in MY 2022/23. However, Côte d'Ivoire's export output is recovering, showing a significant 130% increase in the first six months of the current marketing year. Exports are much higher than imports. In the sub-region, palm oil holds a strong reputation and serves as a vital element in household's essential items. Ivorian palm oil exports represent four times the volume imported over the past five years.

² <https://ecomatin.net/importations-a-la-demande-des-industries-de-transformation-le-cameroun-augmente-a-71-ses-besoins-en-huile-de-palme-brute-pour-2023>

Figure 2. Percentage Share of Palm Oil (Crude and Refined) Exports



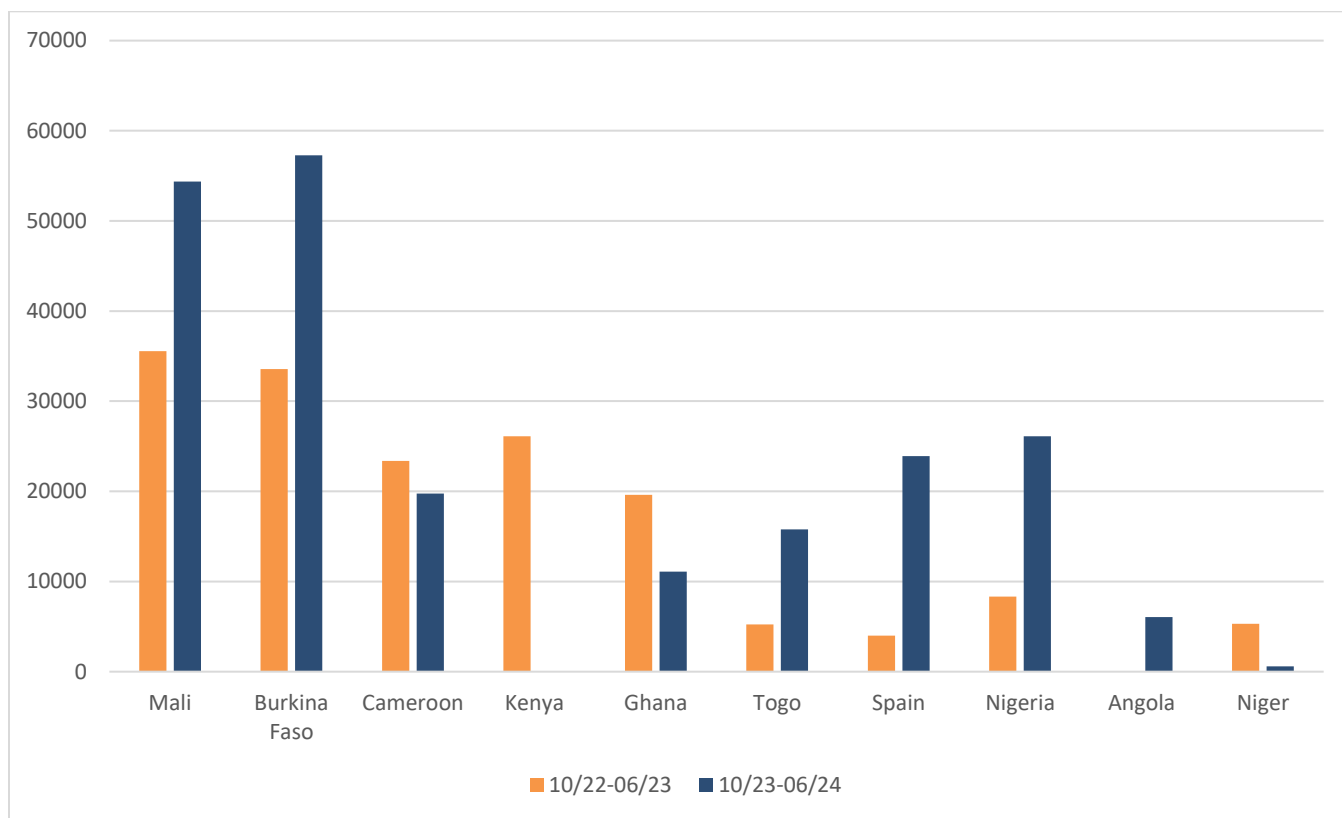
Source: Trade Data Monitor

Post estimates that export volume will keep increasing for the next two years, primarily due to higher demand on the international market, accessing new markets (Cameroon & Kenya), and increased national production.

On the import side, Côte d'Ivoire's palm oil imports are estimated at 10,000 MT for MY2023/24. The country is only importing 60,000 MT on average every year. Liberia has been the top supplier country over the past four years, with imports from Liberia reaching 25,800 MT in the marketing year 2022/23. However, since the start of the current marketing year, imports have decreased by 81% compared to the same period last year. This decline could be due to stricter international regulations on sustainability and deforestation, which require compliance with environmental and social standards. These regulations limit Liberia's ability to export palm oil, reducing available markets and potentially decreasing exports to countries like Côte d'Ivoire.

Historically the second-largest source of CPO imports is coming from Malaysia. However, imports from Malaysia are suffering a 100% drop this marketing year. Imports from Indonesia has also been reduced by 60% in the marketing year 2023/24 compared to 2022/23. Côte d'Ivoire's membership in Economic Community of West African States (ECOWAS) means that customs duties are applied to palm oil imports from non-member countries. This protective measure boosts the competitiveness of Ivorian palm oil.

Figure 3. Major Destinations of Côte d'Ivoire's Palm Oil (Crude and Refined) Exports (October-June 2023-2024)



Source: Trade Data Monitor

Commodity: Oilseed, palm kernel

Table 2. Production Supply and Distribution for Palm Kernel, 2022/23-2024/25

Oilseed, Palm Kernel Market Year Begins Cote d'Ivoire	2022/2023		2023/2024		2024/2025	
	Jan 2023		Jan 2024		Jan 2025	
	USDA Official	New Post	USDA Official	New Post	USDA Official	New Post
Area Planted (1000 HA)	0	0	0	0	0	0
Area Harvested (1000 HA)	300	300	300	300	300	300
Trees (1000 TREES)	0	0	0	0	0	0
Beginning Stocks (1000 MT)	1	1	1	1	1	1
Production (1000 MT)	144	100	144	106	144	110
MY Imports (1000 MT)	1	1	1	1	1	1
MY Imp. from U.S. (1000 MT)	0	0	0	0	0	0
MY Imp. from EU (1000 MT)	0	0	0	0	0	0
Total Supply (1000 MT)	146	102	146	108	146	112
MY Exports (1000 MT)	0	3	0	0	0	0
MY Exp. to EU (1000 MT)	0	0	0	0	0	0
Crush (1000 MT)	142	98	142	104	142	108
Food Use Dom. Cons. (1000 MT)	0	0	0	0	0	0
Feed Waste Dom. Cons. (1000 MT)	3	0	3	3	3	3
Total Dom. Cons. (1000 MT)	145	98	145	107	145	111
Ending Stocks (1000 MT)	1	1	1	1	1	1
Total Distribution (1000 MT)	146	102	146	108	146	112
CY Imports (1000 MT)	0	0	0	0	0	0

CY Imp. from U.S. (1000 MT)	0	0	0	0	0	0
CY Exports (1000 MT)	0	5	0	0	0	0
CY Exp. to U.S. (1000 MT)	0	0	0	0	0	0
Yield (MT/HA)	0.48	0.3333	0.48	0.3533	0.48	0.3667

(1000 HA) ,(1000 TREES) ,(1000 MT) ,(MT/HA)

OFFICIAL DATA CAN BE ACCESSED AT: [PSD Online Advanced Query](#)

Source : FAS Cote d'Ivoire estimates

Production

FAS Abidjan (Post) projects Côte d'Ivoire's palm kernel production to reach 110,000 MT in the marketing year (MY) 2024/25. For MY 2023/24, the estimated production is slightly lower at 106,000 MT. Palm kernel production is a relatively minor activity compared to palm oil production. Of the six mills producing palm kernels, PALMCI accounts for over 60% of the total palm kernel production.

Consumption

Total palm kernel consumption is projected to reach 111,000 MT for the marketing year (MY) 2024/25 and 107,000 MT for MY 2023/24. Palm kernels are utilized in local mills to produce palm kernel oil.

Trade

A small quantity of palm kernels is being imported from Liberia for local processing in the mills. However, the imported quantity has been minimal and has decreased by 98% over the past four years. Posts anticipates palm kernel exports to be insignificant, at 500 MT in 2023/24. The total palm kernel exports for MY 2024/25 are estimated to be 140 MT.

Commodity: Oil, palm kernel

Table 3. Production Supply and Distribution for Oil Palm Kernel, 2022/23-2024/25

Oil, Palm Kernel Market Year Begins	2022/2023		2023/2024		2024/2025	
	Jan 2023		Jan 2024		Jan 2025	
	USDA Official	New Post	USDA Official	New Post	USDA Official	New Post
Cote d'Ivoire						
Crush (1000 MT)	142	98	142	104	142	108
Extr. Rate, 999.9999 (PERCENT)	0.4225	0.4286	0.4225	0.4231	0.4225	0.4259
Beginning Stocks (1000 MT)	7	7	6	5	6	2
Production (1000 MT)	60	42	60	44	60	46
MY Imports (1000 MT)	0	0	0	0	0	0
MY Imp. from U.S. (1000 MT)	0	0	0	0	0	0
MY Imp. from EU (1000 MT)	0	0	0	0	0	0
Total Supply (1000 MT)	67	49	66	49	66	48
MY Exports (1000 MT)	20	22	25	25	25	25
MY Exp. to EU (1000 MT)	0	0	0	0	0	0
Industrial Dom. Cons. (1000 MT)	0	0	0	0	0	0
Food Use Dom. Cons. (1000 MT)	41	22	35	22	35	22
Feed Waste Dom. Cons. (1000 MT)	0	0	0	0	0	0
Total Dom. Cons. (1000 MT)	41	22	35	22	35	22
Ending Stocks (1000 MT)	6	5	6	2	6	1
Total Distribution (1000 MT)	67	49	66	49	66	48

(1000 MT) ,(PERCENT)
OFFICIAL DATA CAN BE ACCESSED AT: PSD Online Advanced Query

Source: FAS Cote d'Ivoire estimates

Production

Post forecasts production of palm kernel oil (PKO) to reach 44,000 MT in the MY 2023/24. Additionally, Post estimates PKO production in MY 2024/25 to be 46,000 MT, marking a four percent increase from the projected output in the current marketing year.

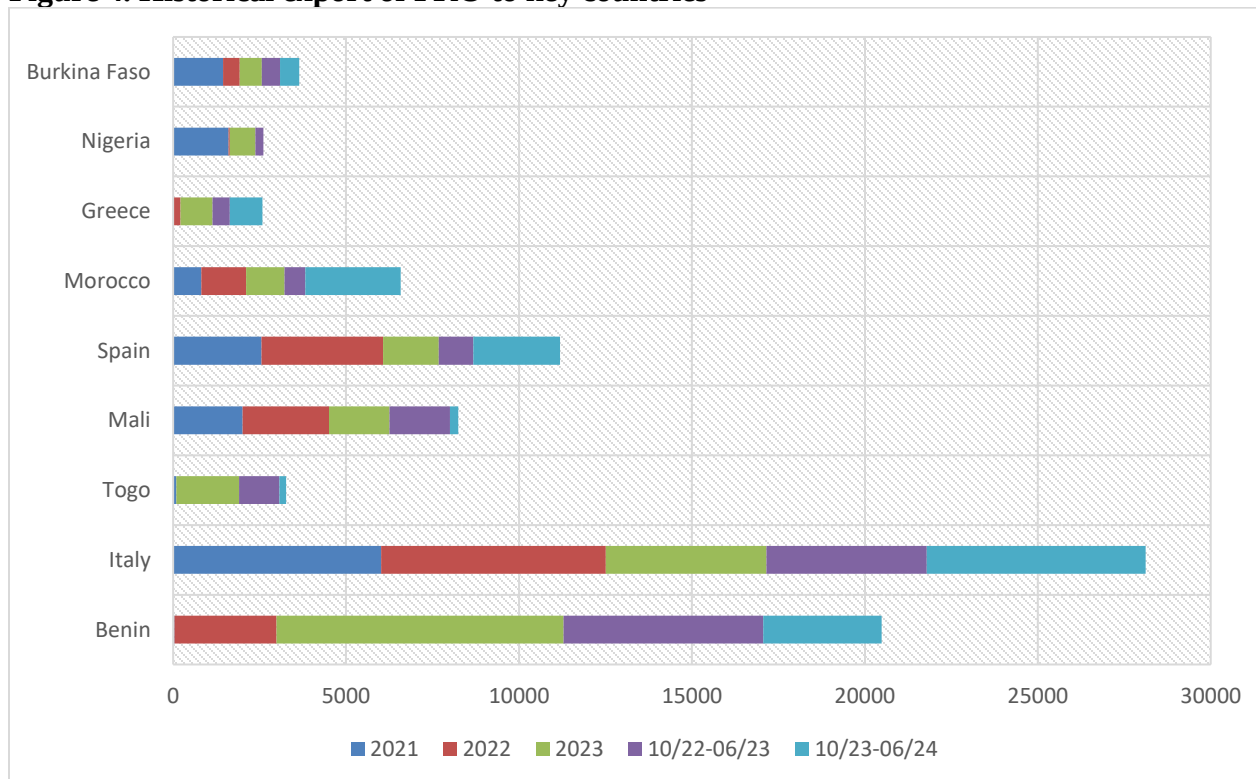
Consumption

Post forecasts local consumption of palm kernel oil (PKO) to be at 22,000 MT for the MY 2024/25. It also estimates domestic consumption of PKO to be stable at 22,000 MT in MY 2023/24..

Trade

Post forecasts PKO exports at 25,000 MT in MY2023/24, a 10 percent increase from the MY 2022/23 estimate of 22,800 MT. Post forecasts PKO exports at 25,000 MT in MY2024/25, unchanged from current estimate for MY 2023/24 export. The biggest importers of KPO from Côte d'Ivoire over the last three years are Italy, Spain, Mali, Morocco and Burkina Faso.

Figure 4. Historical export of PKO to key countries



Source: Trade Data Monitor

Policy

Côte d'Ivoire possesses 300,000 HA of industrial palm oil plantations and 80,000 HA of smallholder palm oil plantations. The country was the first African exporter of palm oil and is the second largest producer behind Nigeria. There are 32 cooperatives that work to provide production best practices and facilitate access to oil mills for smallholder plantations.

The AIPH (Inter-professional Association of Oil-Palm Industry) is a professional association recognized by Decree No. 2015-127 of March 4, 2015. This association works to coordinate with every segment of the palm oil value chain. Specifically, they work with the following:

- FFB producers: National Federation of Cooperatives of Oil-Palm Farmers of Côte d'Ivoire (FENACOPAH-CI) and Association of Professionals of Oil-Palm Agricultural Society (APROSAPCI),
- agro-industrial companies (oil mills) that produce crude palm oil and those that refine the oil: Organization of Palm Oil Processors (GITHP)

The Conseil Hevea Palmier à Huile is the regulatory, control, and monitoring body for the activities of the Hevea and Oil Palm sectors. The oil palm sector has distinguished itself by its good organization, through AIPH. Therefore, unlike the Councils of the coffee-cocoa and cotton-cashew sectors, this one only focuses on the regulatory function, not the development function.

The Government of Côte d'Ivoire (GOCI) through its regulation body of the palm oil sector, the Conseil Hevea Palmier à Huile implemented a national development plan for the palm oil sector called "Plan Palmier". The third phase of this plan, put in place since 2015, has allowed the sector to reach its current production of 600,000 MT of CPO.

Palm oil products represent more than 90 percent of total oilseed products and, a significant rise in raw material would dramatically affect the end-use product. In fact, a rise in price of FFB also impacts the final price of CPO produced by palm oil mills units. CPO is the primary source of material for vegetable oil, the most used source of cooking oil in the country. The rise in price of FFB would then push processing units to raise price of the CPO sold to refining units. To mitigate inflationary pressures in Côte d'Ivoire, GOCI convened with key stakeholders in the oilseed industry in December 2020. The discussions led to the implementation of price caps on table oil, crude palm oil (CPO), and fresh fruit bunches (FFB) purchased from planters. This regulatory intervention has effectively reduced CPO prices by a cumulative 16% from December 2020 to July 2024.

The Ivorian government's decision to cap the prices of table oil, crude palm oil, and fresh fruit bunches has had significant implications for market competitiveness. Last year, the average CIF Rotterdam price for olein consistently remained several dozen dollars below that of crude palm oil, its raw material. This discrepancy is attributed to subsidies provided by leading global nations to their crude palm oil refining industries, thereby producing olein at a lower cost. Consequently, there has been an influx of low-cost olein from Asian markets into West African markets, undermining the competitiveness of Ivorian refiners. These subsidies have intensified competition, making it increasingly challenging for local refiners to maintain their market position, despite government price regulation efforts.

Additionally, at the beginning of 2024, government environmental agencies-initiated inspections of oil mills, leading to the closure of several facilities due to non-compliance with existing regulations.

Attachments:

No Attachments.

End of Report